The Tax Regime of Centre and States

In general the legislative jurisdiction of the Centre and the state is dealt in the Article 246 read with Seventh chedule to the Constitution. The Centre has exclusive jurisdiction on the subjects in List I (Union List). The states have exclusive jurisdiction on the subjects in List II (State List). Both Centre and the states have common jurisdiction on the subjects in List III (Concurrent List) subject to other provisions of the constitution. The same is applicable for tax jurisdiction also. Here the subjects relevant to tax alone are listed.

List I (Union List) of 7th Schedule – Centre

1. Tax on income, other than agriculture income (Entry 82)
2. Customs duties including export (Entry 83)
3. Duties of excise on the following goods manufactured or produced in India (Entry 84)
   (a) petroleum crude;
   (b) high speed diesel;
   (c) motor spirit (commonly known as petrol);
   (d) natural gas;
   (e) aviation turbine fuel; and
   (f) tobacco and tobacco products
4. Corporate Income Tax (Entry 85)
5. Taxes on Capital value of assets except agricultural land of individuals and companies (Capital Gain Tax) and taxes on the capital of companies (Entry 86)
6. Estate duties other than agricultural land (Entry 87)
7. Succession duties other than agricultural land (Entry 88)
8. Terminal taxes on goods or passengers carried by railways, sea or air (Entry 89)
9. Tax on railway freight and fare (Entry 89)